

HEDGING OF POSITIONS

To solve the issues faced with stop loss, hedging can be seen as an effective choice. Hedging refers to entering an opposite trade to our current trade to minimize our risk and losses.

Meaning, if we buy a share then to protect ourselves from losses, we may even take a short position on the same using derivatives. This may add to our cost of a trade and therefore affect profitability but we do it for survival.



For instance, we buy a share at ₹1000 (original trade). To hedge ourselves, we may also buy a put option at a strike price of say ₹950 at a premium of ₹10 (opposite trade).



This opposite trade or position on the underlying asset will protect us against losses. Now, even if there is an overnight change, our position is hedged.

Our **maximum loss** will remain fixed. This is protective put strategy that we discussed in option strategies chapter.